

stable with one position down (from No. 222 in 2021 to No. 223 in 2022). And Max Healthcare's ranking improved from No. 184 in 2021 to No. 138 in 2022. In Q2FY23, Max reported consolidated operating profit of ₹344.74 crore (compared to ₹270.36 crore in Q2FY22), with overall occupancy at 78 per cent versus 74 per cent in Q1 on seasonality.

Per a report by credit rating agency CareEdge in June 2022, hospitals' revenue growth was estimated at 15 per cent for FY22 due to higher occupancy, better patient mobility on account of 'living with Covid-19' policies, and resumption of non-Covid surgeries. Comparatively, in FY21, the segment had reported subdued revenue growth of 7 per cent, primarily due to the lockdowns, which affected patient mobility. "Hospitals are structurally well-placed with momentum expected to continue from a robust Q1FY23. The momentum is likely to be driven by sequential in-patient volume and thus, higher in-patient conversion. One important lever could be incremental elective surgeries, due to continuum of pent-up demand, post-Covid-led complications and higher international patients mix," says Siddhant Khandekar, Analyst at ICICI Securities Research.

LOOKING AHEAD

Despite the contrasts, the future looks promising for the overall industry. Arvind Sharma, Partner at Shardul Amarchand Mangaldas & Co, explains why. "Several new products are lined up for approvals, and the pharma sector is securing benefits including on account of digitisation, use of AI and increased R&D. All of this, and recent changes in the global economic and political situation, should enable continuity of excellent performance in the Indian pharma sector, and we have a positive outlook for growth in the next year as well," says Sharma,

RECOVERING HOSPITALS



Non-Covid-19 footfalls increasing at hospitals



Routine surgeries have started picking up



International medical tourism is on the rise again

DIAGNOSIS: NOT GOOD



Covid-19 testing is going down as the pandemic recedes



New players are entering the sector, creating intense competition



Competition across geographies is also increasing

BITTER PILLS



Covid-19-related businesses slowly fading away, with pharma firms going back to core areas



There is intense pricing pressure in the US market, which in turn is creating pressure on margins



New product pipeline will add to margin pressure

who tracks the pharma sector.

Experts say the companies to watch out for next year are Fortis, Sun Pharma, JB Chemicals & Pharmaceuticals, Torrent Pharmaceuticals, Abbott and Dr. Reddy's. Sun Pharma is expected to show strong growth in the US specialty drugs business (specialty drugs are copies of biologics, which are derived from living cells). Analyst firm Nirmal Bang has said that JB Chemicals' revenue is expected to grow 32.2 per cent YoY in the next quarter mainly due to 45 per cent YoY growth in the domestic market.

Torrent is expanding with mergers and acquisitions and investments in diagnostics. It acquired Curatio Healthcare in September 2022 for ₹2,000 crore, which is its most expensive deal so far. This acquisition, the company has said, is expected to enhance its presence in the cosmetic dermatology market. As for Dr. Reddy's, analysts continue to be positive on the stock, given the expected growth momentum in its branded generics business, strong product launch run-rate in the US, enhanced focus on margins, and attractive valuations.

Another company to watch out for, analysts say, is Piramal Pharma Ltd (PPL). After its demerger from parent company Piramal Enterprises, PPL is now a large listed entity in the pharma sector. Having sold its domestic formulations business in 2010 (which comprised around 55 per cent of FY10 sales of ₹3,670 crore) to Abbott, Piramal has rebuilt its pharma business to ₹6,700 crore in sales in FY22. The billion-dollar-revenue mark appears within touching distance now.

While recent times have seen mixed fortunes for the pharma and healthcare sector, the industry appears to be moving in the right direction in terms of growth. **BT**

@neetu_csharma